May/June 2013 Paper 02

Section I (Compulsory)

Question 1

1(a) Documents used in business transactions

List TWO types of documents used in business transactions. (2 marks)

- Invoice, which is a document sent by the seller to the buyer showing the goods supplied, the quantity, the unit price and the total amount owed.
- Receipt, which is a document given by the seller to the buyer as proof that payment has been received for the goods or services.

1(b) Insurance and assurance

(i) Distinguish between the terms 'insurance' and 'assurance'. (4 marks); (ii) Identify TWO types of insurance policies. (2 marks)

(b)(i) Difference between insurance and assurance

Insurance

Insurance is a contract under which a person pays a regular premium to an insurance company so that the company will pay compensation only if a particular event happens that may or may not happen, such as a fire, a car accident or theft. If the event never takes place during the period of cover, no payout is made and the premiums are kept by the insurance company.

Assurance

Assurance is a contract that covers an event that is sure to happen at some point, especially the death of the insured person. Because the event is certain, the insurance company will definitely pay out the agreed sum either to the policyholder at the end of an agreed period or to the family when the policyholder dies.

(b)(ii) TWO types of insurance policies

- Motor vehicle insurance, which covers loss or damage to a vehicle and injury to other people in the event of an accident.
- Fire insurance, which covers loss or damage to a building and its contents caused by fire.

1(c) Unethical record-keeping practices

Outline TWO unethical business practices related to record keeping and state ONE consequence of EACH practice outlined. (6 marks)

Falsifying sales and expense figures

Some businesses deliberately record fewer sales than were actually made or invent expenses that never happened, in order to lower the profits shown in the books. The consequence is that the business pays less tax than it should, and when this is discovered by the tax authority the owners can be charged heavy penalties, interest and even taken to court for tax evasion.

Destroying or hiding business records

Some businesses shred, burn or hide invoices, receipts and other source documents to cover up dishonest dealings such as theft by managers or money laundering. The consequence is that auditors and government inspectors lose trust in the business, the bank may refuse loans, and the owners and managers may face criminal charges that can lead to fines or imprisonment.

1(d) Benefits of keeping good business records

Discuss TWO benefits of keeping good business records. (6 marks)

Better decision making and control of the business

When records are kept properly, the owner can see exactly how much was sold, how much was spent and how much profit was made over a given period. This information makes it possible to spot which products are doing well, where money is being wasted and whether prices need to be adjusted. As a result, the owner can make better decisions about ordering stock, hiring workers and expanding the business.

Easier access to loans and proper payment of taxes

Banks, investors and the tax authority all need to see clear records before they will deal with a business. Good records make it much easier to prepare final accounts and tax returns, which means the business can pay the correct amount of tax on time and avoid penalties. Lenders are also far more willing to give a loan when the books show a clear and honest picture of how the business is performing.

Question 2

2(a) Definition of management information system

Define the term 'management information system'. (2 marks)

A management information system, often called an MIS, is a computer-based system that collects, stores, processes and presents information about all the activities of a business so that managers can use it to make decisions. It brings together data from sales, production, finance and human resources and turns it into reports that help managers to plan and control the business.

2(b) Benefits and challenges of using an MIS

State TWO benefits and TWO challenges of using a management information system. (4 marks)

Benefits

- Managers can get up-to-date and accurate information at the click of a button, which helps them to make faster and better decisions.
- It reduces paperwork and the duplication of records, which saves time and storage space and lowers the chance of mistakes.

Challenges

- It is expensive to buy the computers and software and to train workers to use the system, which can be a heavy cost for small businesses.
- If the system breaks down or is hacked, important business information can be lost or stolen, which can stop the business from operating until the problem is fixed.

2(c) Resolving conflict and responsibilities to employees

(i) Outline THREE ways of resolving conflict among employees in an organization. (6 marks); (ii) State TWO responsibilities of management to employees. (2 marks)

(c)(i) THREE ways of resolving conflict

Open discussion and active listening

The manager should bring the workers in conflict together in a private meeting and allow each person to explain his or her side of the story without interruption. By listening carefully and treating both sides with respect, the manager can often help the workers see each other's point of view and reach an agreement on their own.

Mediation by a neutral third party

If the workers cannot solve the problem on their own, a neutral person such as a senior manager, a human resource officer or a trade union representative can be brought in to mediate. This person hears both sides, suggests a fair compromise and helps the workers to accept a solution that they could not reach by themselves.

Applying clear company rules and procedures

Every business should have written rules in a staff handbook that explain how complaints will be handled, including warnings, hearings and possible penalties. By applying these rules fairly to everyone, management can settle disputes in an open and predictable way and prevent the same conflict from happening again.

(c)(ii) TWO responsibilities of management to employees

- To pay fair wages on time and to provide safe working conditions, proper tools and protective equipment so that workers do not get hurt on the job.
- To provide training and chances for promotion so that workers can develop their skills and move up in the business as they gain experience.

2(d) Strategies to increase productivity

Discuss TWO strategies which management can use to increase productivity. (6 marks)

Training and development of workers

When management invests in training, workers learn how to use machines and methods more efficiently and how to handle customers better. Better-trained workers make fewer mistakes, waste less material and produce more output in the same amount of time. Over time, the business can produce more goods and services from the same number of workers, which raises productivity and lowers cost per unit.

Use of incentives and modern technology

Management can offer rewards such as bonuses, commission, prizes and promotion to workers who meet or exceed their targets, which encourages everyone to put in extra effort. At the same time, replacing old equipment with modern computers and machines allows workers to do more in less time and with greater accuracy. Together, motivated workers and better technology produce a clear rise in output per worker.

Question 3

3(a) Importance of wholesaling

Distribution is a very important aspect of business; therefore firms must always assess how their products reach consumers. Outline THREE reasons why wholesaling is important in the distribution of goods and services. (6 marks)

Breaking bulk for retailers

Wholesalers buy very large quantities of goods from manufacturers and then sell them to retailers in smaller quantities that the retailers can afford and store. This breaking of bulk allows small retailers to stock a wide variety of goods without having to buy huge amounts at one time, which keeps their costs down.

Storage of goods until they are needed

Wholesalers have large warehouses where goods can be kept safely until retailers and consumers need them. This relieves the manufacturer of the cost of storing finished goods and makes sure that products such as canned foods or building materials are always available, even when production is seasonal.

Providing finance and information to producers and retailers

By buying in large quantities and paying the manufacturer quickly, the wholesaler gives the manufacturer the cash needed to keep producing. The wholesaler can also offer credit to retailers and pass on useful information about what consumers are buying, which helps producers to plan future output and helps retailers to stock the right goods.

3(b) Pairs of retailing methods

Distinguish between EACH of the following pairs of retailing methods: (i) E-commerce and telemarketing; (ii) Convenience shops/stores and supermarkets (8 marks)

E-commerce

E-commerce is the buying and selling of goods and services over the internet, where the customer visits a website, places an order and pays online using a credit card or other electronic payment, after which the goods are delivered or downloaded. The customer and the seller never speak directly, and the whole transaction is carried out through a computer or smartphone.

Telemarketing

Telemarketing is the selling of goods and services over the telephone, where a salesperson calls customers directly to describe the product, answer questions and try to close a sale. Unlike e-commerce, telemarketing involves a real conversation between the customer and the salesperson and does not need the customer to use a computer.

Convenience shops or stores

Convenience shops are small retail outlets located close to where customers live or work. They stock a limited range of everyday items such as bread, milk, snacks and basic household goods. They usually open for long hours, often charge slightly higher prices than larger stores and aim to give customers a quick and easy shopping experience.

Supermarkets

Supermarkets are much larger self-service stores that sell a wide range of food, drinks, household products and sometimes clothing under one roof. They use trolleys, checkouts and bulk buying to offer lower prices than small shops, but they are usually located in busier centres so customers have to travel a bit further and may spend longer shopping.

3(c) Factors influencing packaging

Discuss TWO factors that may influence the type of packaging used in the presentation of goods to consumers. (6 marks)

Nature of the product and need for protection

The packaging must suit the product inside, so a fragile item such as glassware needs strong cartons with foam, while a perishable item such as milk needs sealed containers that keep out air and bacteria. Liquids must be put in waterproof bottles or cartons, and frozen foods need packaging that can stand up to low temperatures. If the packaging does not protect the product properly, the goods will be damaged or spoil before they reach the consumer.

Cost of the packaging and the image of the brand

The cost of the packaging affects the final selling price, so the producer has to choose materials that protect the product without making it too expensive for the target market. At the same time, the packaging is part of how the brand presents itself, so a luxury product will use neat, attractive boxes with high-quality printing, while a budget product will use simpler, cheaper packaging. The choice has to balance affordability, the brand image and the protection of the product.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Capital and collateral for Janice

Janice needs funds to open a pasta production business. (i) Identify THREE sources of capital for Janice to start her business. (3 marks); (ii) Define the term 'collateral'. (2 marks); (iii) List TWO examples of collateral. (2 marks)

(a)(i) THREE sources of capital

- Personal savings that Janice has put aside from previous earnings.
- A bank loan from a commercial bank or credit union, which Janice would repay with interest over time.
- Money invested by family members, friends or partners who would share in the profits of the business.

(a)(ii) Definition of collateral

Collateral is something of value that a borrower offers to a lender as security for a loan. If the borrower fails to repay the loan as agreed, the lender has the legal right to take and sell the item of collateral to recover the money owed.

(a)(iii) TWO examples of collateral

- Land or buildings owned by the borrower.
- A motor vehicle or a fixed deposit held by the borrower at a bank.

4(b) Personal traits and roles of an entrepreneur

(i) Identify THREE personal traits which Janice should possess in order to be successful in business. (3 marks); (ii) Describe TWO roles of an entrepreneur. (4 marks)

(b)(i) THREE personal traits

- Hard working and self-disciplined, so that she is willing to put in the long hours needed to set up and run the pasta business.
- Willing to take calculated risks, since starting a business always involves the chance that things may not go as planned.
- Creative and good at solving problems, so that she can come up with new pasta products and find quick solutions when difficulties arise.

(b)(ii) TWO roles of an entrepreneur

Organising the factors of production

An entrepreneur brings together land, labour and capital to produce goods and services. In Janice's case, this means renting a suitable building, hiring workers, buying machines and arranging supplies of flour, eggs and other raw materials so that pasta can actually be produced.

Risk taking and decision making

An entrepreneur invests her own money and time in the business and accepts the risk that the business may fail. She also has to make important decisions about what type of pasta to produce, what price to charge, who to sell to and how to handle problems, and she takes the loss or the profit that follows from those decisions.

4(c) Sole proprietorship vs partnership for Janice

Discuss TWO factors which Janice must consider when deciding whether she should set up a sole proprietorship or a partnership business. (6 marks)

Amount of capital needed and access to finance

If Janice has only a small amount of savings and finds it difficult to get a large bank loan on her own, a partnership may be a better choice because partners can pool their money together and share the cost of buying machines, renting premises and buying raw materials. On the other hand, if Janice has enough savings or can borrow what she needs, a sole proprietorship lets her keep full ownership without having to share future profits.

Control over decisions and sharing of profits and risk

As a sole proprietor, Janice would make all the decisions herself and keep all the profits, but she would also carry all the risk and the unlimited liability alone. In a partnership, decisions, profits and losses are shared with the other partners, which lightens the load on Janice but also means she would have to consult others before making important moves and would have to share whatever profits the pasta business earns.

Question 5

5(a) Transportation in business

(i) State TWO functions of transportation in business. (2 marks); (ii) Outline TWO advantages of road or land transport. (4 marks)

(a)(i) TWO functions of transportation

- To move raw materials from suppliers to factories so that production can take place.
- To move finished goods from factories and warehouses to wholesalers, retailers and final consumers.

(a)(ii) TWO advantages of road or land transport

Door-to-door delivery

Trucks and vans can drive directly from the supplier's premises to the buyer's premises, which means goods do not have to be loaded and unloaded at ports or stations along the way. This saves time and reduces the chance of damage or theft, and it is especially helpful for delivering goods to small shops in towns and rural areas.

Flexibility and lower cost over short distances

Road transport can use the wide network of roads to reach almost any location, and the routes and times of delivery can easily be changed to suit the needs of the customer. For short and medium distances, road transport is usually cheaper than rail, sea or air, which makes it a good choice for moving goods within a country.

5(b) Distribution problems and solutions

(i) Describe TWO problems related to the distribution of goods in your country. (4 marks); (ii) Outline ONE measure that can be used to solve EACH problem described in (b)(i) above. (4 marks)

(b)(i) TWO problems related to distribution

Poor road conditions and traffic congestion

Many roads in the country have potholes, narrow bridges and limited capacity, especially in city centres at peak hours. This slows down delivery trucks, raises the cost of fuel and maintenance and causes goods to reach shops late, which leads to lost sales and unhappy customers.

High transport costs and limited storage facilities

The cost of fuel, vehicle parts and insurance is high, and there are not enough modern warehouses with cold storage in many parts of the country. This makes it expensive to move and store goods, especially perishable items such as fruit, vegetables and fish, and a lot of produce is lost between the farm and the consumer.

(b)(ii) ONE measure to solve EACH problem

Improving and maintaining the road network

The government can spend more on building, widening and repairing roads, and on traffic management systems such as proper signals and bypasses around busy towns. Smoother and less congested roads

would let delivery trucks reach customers more quickly and at a lower cost, which improves the whole distribution system.

Building modern warehouses and providing transport incentives

The government and the private sector can invest in modern warehouses with refrigerated storage at key locations such as ports and farming areas. They can also offer tax breaks on delivery vehicles and refrigerated trucks, which lowers the cost of distribution and reduces the spoilage of perishable goods on the way to the consumer.

5(c) Commercial banking services for transport businesses

Discuss TWO types of commercial banking services available to businesses engaged in transportation. (6 marks)

Loans and hire purchase finance for vehicles

Commercial banks can give a transport business a loan or arrange hire purchase finance to buy trucks, vans, buses or ships. The business pays back the bank in fixed monthly instalments with interest, while it earns income from using the vehicles. This service is important because vehicles are expensive and most transport firms could not buy them out of their savings alone.

Business current accounts and electronic payment services

Commercial banks provide current accounts, cheque books, debit cards, online banking and merchant services that allow a transport business to receive payments from customers and to pay suppliers, fuel stations, drivers and the government quickly and safely. These services keep money moving through the business, reduce the need to handle large amounts of cash and make record keeping much easier.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Taxes and subsidies

A government senator reported that, even though his country was experiencing financial difficulties, it was too early to say whether the government would be forced to increase taxes or reduce subsidies. (i) Define the term 'taxes'. (2 marks); (ii) Define the term 'subsidies'. (2 marks); (iii) State TWO reasons why governments impose taxes. (2 marks); (iv) Identify TWO services which a government in the Caribbean would normally subsidize. (2 marks)

(a)(i) Definition of taxes

Taxes are compulsory payments that individuals and businesses must make to the government out of their incomes, profits or spending. The government does not give a direct service in return for the tax paid, but uses the money collected to provide public services such as health, education and security.

(a)(ii) Definition of subsidies

Subsidies are payments made by the government to producers or consumers to lower the cost of providing or buying certain goods and services. They are used to keep prices of essential items down, to support

local industries and to make sure that important services such as transport or food are within the reach of ordinary citizens.

(a)(iii) TWO reasons governments impose taxes

- To raise revenue to pay for public services such as schools, hospitals, roads and the police.
- To redistribute income from richer to poorer citizens through programmes such as welfare payments, pensions and free education.

(a)(iv) TWO services normally subsidized in the Caribbean

- Public transport, where bus fares are kept low so that workers and students can travel cheaply.
- Education and health care, where schools, hospitals and clinics are run at low cost or free of charge to the public.

6(b) Types and examples of taxes

(i) Differentiate between 'progressive' taxes and 'regressive' taxes. (2 marks); (ii) List TWO examples of direct taxes. (2 marks); (iii) List TWO examples of indirect taxes. (2 marks)

(b)(i) Progressive vs regressive taxes

A progressive tax is one where the rate of tax rises as the income of the taxpayer rises, so people who earn more pay a larger share of their income in tax. A regressive tax is the opposite, because it takes the same amount or the same percentage of spending from everyone, which means lower income earners end up paying a larger share of their income in tax than higher income earners.

(b)(ii) TWO examples of direct taxes

- Income tax, paid by individuals out of their wages and salaries.
- Corporation tax (company tax), paid by businesses out of their profits.

(b)(iii) TWO examples of indirect taxes

- Value Added Tax (VAT) or General Consumption Tax, charged on the sale of goods and services.
- Customs duty (import duty), charged on goods brought into the country from abroad.

6(c) Protecting local poultry farmers

Poultry farmers in your country have complained about the increase in the quantities of chicken parts being imported. Discuss TWO steps which your government could take to protect the interests of local poultry farmers. (6 marks)

Place tariffs or quotas on imported chicken parts

The government can charge a high import duty on chicken parts coming from other countries, which makes the imported chicken more expensive in shops than locally produced chicken. The government can also set a quota that limits the quantity of chicken parts that may be imported each year. Both measures protect local poultry farmers by giving them a larger share of the home market and by allowing them to sell their birds at a fair price.

Provide subsidies, training and marketing support to local farmers

The government can give local poultry farmers subsidies on feed, day-old chicks and equipment, and can provide training in modern poultry methods so that they can produce chicken more cheaply and to higher quality standards. It can also run public campaigns encouraging citizens to buy local chicken. With lower costs, better quality and stronger demand, local farmers can compete more easily against imported chicken parts.

Question 7

7(a) Per capita income

(i) Define the term 'per capita income'. (2 marks); (ii) Explain how per capita income is calculated. (2 marks); (iii) State ONE advantage and ONE disadvantage of using per capita income to measure a country's standard of living. (2 marks); (iv) List TWO factors, other than per capita income, which may be used to measure the standard of living. (2 marks)

(a)(i) Definition of per capita income

Per capita income is the average income earned by each person in a country in a given year. It is used as one measure of how well off, on average, the citizens of a country are.

(a)(ii) How per capita income is calculated

Per capita income is calculated by taking the total national income of the country for the year and dividing it by the total population of the country at the same time. The result shows how much income each person would receive if the total national income were shared equally among all citizens.

(a)(iii) ONE advantage and ONE disadvantage

Advantage

Per capita income is easy to calculate and gives a simple, single figure that allows different countries or different years in the same country to be compared quickly to see whether average incomes are rising or falling.

Disadvantage

Per capita income is only an average and hides the gap between rich and poor. A country can have a high per capita income while a large part of the population is still very poor, because most of the income may be earned by a small group of wealthy citizens.

(a)(iv) TWO other factors used to measure standard of living

- Access to health care and life expectancy at birth, which show how well people are looked after.
- Level of education, including the literacy rate and the number of years children spend in school.

7(b) Factors that may cause per capita income to rise

Discuss TWO factors which may cause the per capita income of a country to rise. (6 marks)

Increase in productivity and output of the economy

When workers, machines and farms produce more goods and services in the same amount of time, the total national income of the country grows. If the population grows more slowly than this output, the

average income per person automatically rises. Better training of workers, improved technology and investment in modern industries are some of the main ways in which productivity and output can be raised.

Growth of exports and inflow of foreign investment

When a country sells more of its goods and services overseas, businesses earn more, pay higher wages and hire more workers, which increases the total income of citizens. Foreign companies setting up factories or hotels also create jobs and pay taxes locally. Both of these add to national income, and as long as the population does not grow as fast as the income, per capita income will rise.

7(c) Methods of calculating national income and standard of living comparisons

(i) Describe any TWO of the following methods used to calculate a country's national income: a) The income method; b) The expenditure method; c) The output method. (4 marks); (ii) State TWO factors which make it difficult to compare the standard of living of different countries. (2 marks)

(c)(i) TWO methods of calculating national income

The income method

Under the income method, national income is found by adding up all the incomes earned by people and businesses in the country during the year. This includes wages and salaries paid to workers, profits earned by businesses, rent earned from land and buildings, and interest earned on capital. The total of these incomes gives the national income.

The expenditure method

Under the expenditure method, national income is found by adding up all the spending on the final goods and services produced in the country during the year. This includes consumer spending by households, investment spending by businesses, government spending, and net exports (exports minus imports). The total spending gives the value of national output, which equals national income.

(c)(ii) TWO factors making it difficult to compare standard of living

- Differences in the cost of living and exchange rates between countries, so the same amount of money can buy very different quantities of goods in different places.
- Differences in the size of the hidden or informal economy and in non-money activities such as subsistence farming, which are not fully recorded in national income figures.